

earnings that we talked about in the first chapter. The bear market of 1973–74 ended that phase with a bang. Now growth was hated. Low risk and the supposed safety of high-yield dividends were all that mattered.

I had watched investors chase first after the new-issue market, then the Nifty Fifty, and then the high-dividend payers. I just lashed myself to the mast of Growth at a Fair Price and thereby escaped the siren songs of junky new issues and stocks selling at astronomical P/Es, surviving to enjoy the bargains left in the wake of 1973–74. Since 1982 the market has generally swept upward, but not without severe corrections, particularly among sectors that swelled to crazy valuations. Investors constantly rotating their portfolios to catch the dazzling performers of the moment have had disappointing results in an extraordinary bull market. A philosophy is important not in the abstract but because it will keep you on the right track.

It will also empower you to shut your ears to opportunistic brokers enticing you to switch into the hot style of the moment. Brokers earn a living only when you move your money around, and Wall Street knows how to trumpet the latest fad. In 1976 Benjamin Graham, the inventor of security analysis, summed up his observations after sixty years in the market:

They used to say about the Bourbons that they forgot nothing. I'll say about the Wall Street people, typically, that they learn nothing, and they forget everything. I have no confidence whatever in the future behavior of the Wall Street people.

Hiring a Pro

Considering the time and discipline investing demands, the skills and knowledge and resources it takes, and the kind of personality it